HIPPO VALLEY ESTATE
and
TRIANGLE LIMITED
versus
MINISTER OF INDUSTRY AND COMMERCE
and
BAKER TILLY CHARTERED ACCOUNTANTS ZIMBABWE
and
COMMERCIAL SUGARCANE FARMERS ASSOCIATION
and
HIPPO VALLEY PRODUCTIVE SUGARCANE FARMERS ASSOCIATION
and
ZIMBABWE SUGARCANE DEVELOPMENT ASSOCIATION
and
ZDSA FARMERS TRUST
and
MKWASINE SUGARCANE FARMERS ASSOCIATION
and
LOWVELD SUGARCANE GROWERS' ASSOCIATION
and
CHIREDZI PRODUCTIVE CANE GROWERS ASSOCIATION
and
CHIPIWA MUPAPA FARMERS ASSOCIATION
and
HIPPO VALLEY MILLS GROUP
and
TRIANGLE MILLS GROUP
and
MKWASINE MILLS GROUP

HIGH COURT OF ZIMBABWE
MUSITHU J

HARARE, 9 December 2025 & 21 July 2026

Opposed application-Review in terms of s 4(1) of the Administrative Justice Act [Chapter 7:06], as read together with r 62 of the High Court Rules, 2021

T. Mpofu with E.T. Moyo, for the applicants
L. Madhuku with F. Chimunoko, for the 1st respondent
F. Chinwawadzimba with B.T. Mudhara, for the 2nd respondent
G. Madzoka with W. Jiti, for the 3rd to 13th respondents

MUSITHU J:

[1] This urgent court application for a *declaratur* was filed in terms of section 14 of the High Court Act [*Chapter 07:06*], as read together with section 4(1) of the Administrative Justice Act [*Chapter 10:28*] (the AJA). The applicants approached the court seeking the following relief:

3.1 An order declaring that the results of the 2016 Division of Proceeds (DoP) validation exercise carried out by the second respondent and relied upon by the first respondent in making a directive to vary the DoP to 80.5% and 19.5% respectively to farmers and millers was fundamentally flawed, irregular, unreasonable and unfair such that it cannot be sustained.

3.2 By extension that the directive by the first respondent dated 8 October 2024 for implementation of a DoP ratio of 80.5% and 19.5% to farmers and millers respectively was unreasonable and unfair.

3.3 Further that the conduct by the first respondent to direct DoP determination is *ultra vires* and therefore unlawful.

3.4 Resultantly that the purported 2016 DoP validation results and the subsequent action by the first respondent directing the implementation of a DoP of 80.5% and 19.5% respectively in favour of the farmers effective 1 April 2022 be set aside, and

3.5 That the last obtaining EY DoP shall continue to apply until such time as the DoP is reviewed.

Factual background and the applicants' case

[2] The applicants are involved in the agriculture and agro-processing business, focusing on growing and milling sugar cane in Zimbabwe. The first respondent is the administrative authority charged with the administration of the Sugar Production Control Act [*Chapter 18:19*] (the Act). The second respondent is a firm of chartered accountants which was engaged by the first respondent to assist him in performing a statutory function, on the basis of which the first respondent took administrative action which the applicants sought to impugn.

[3] The third to thirteenth respondents are farmer associations and farmer groups representing the duly licenced out grower farmers who grow and deliver sugarcane for milling to the applicants in the lowveld region in Zimbabwe in terms of a cane milling agreement. The farmer associations and groups were involved in engagements with the applicants yielding

the action taken by the first respondent, based on the assignment and delegation made to the second respondent.

[4] In terms of s 9 of the Act, the applicants, as licensed sugar millers, are required to accept sugar cane from growers and cannot refuse same without reasonable cause. The farmers and the millers have a commercial relationship in the production and marketing of sugar and allied products in terms of which the farmers deliver sugar cane to the millers for milling. That was done under either a cane purchase agreement or a cane milling agreement.

[5] In the case of a cane purchase agreement, the farmers were paid an agreed price which the first respondent may by statutory instrument determine if it appeared to him to be in the public interests or the industry to so. According to the applicants, the current cane price of US$71.00 was determined by the first respondent following disagreements by the millers and farmers on the price of cane, though a statutory instrument was not promulgated.

[6] In the case of a cane milling agreement, the farmers delivered their cane to the millers for milling at a charge and the sugar produced was jointly pooled and marketed together with that belonging to the millers and the proceeds from the sales were distributed according to an agreed technically determined share of revenue called Division of Proceeds (DoP).

[7] The DoP was a formula for determining what percentage of revenue from the sale of sugar produced in the milling process represented the grower's costs and capital employed plus return, and what represented the milling costs and capital employed plus return. The respective ratios of revenue sharing so determined would then be applied in paying farmers for their cane delivered for milling to the mills, while the millers would retain their respective portion of the DoP representing a milling charge.

[8] According to the applicants, such DoP had in the past been determined through a mutually agreed process involving engagement of an independent internationally recognised consultant with relevant specialised expertise, usually an accounting firm. The consultant acting as an expert within defined terms of reference would undertake an independent inquiry usually spanning to a duration over two years to come up with a recommendation of an equitable DoP ratio which the parties would adopt in their commercial arrangements. The last such determination was done by Ernst and Young (EY) in 2016, and it placed the DoP at 77%:23% in favour of farmers. Prior to that, the DoP that was agreed by farmers and millers had been arrived at in 1999 following a review process carried out by PriceWaterHouse Coopers (PWC) from 1997 through to 1999.

[9] Further according to the applicants, the 2016 EY DoP was contested by both farmers and millers. The parties made representations to the then Industry Minister, Mike Bimha highlighting the shortcomings in the report by EY. Among the concerns raised were limitations indicated by the consultant in executing the complex task of coming up with the DoP recommendation, particularly the integrity and quantum of certain submissions from farmers which were not supported by verifiable evidence.

[10] The applicant averred that unlike the 1999 PWC DoP review results which were adopted by mutual agreement of the parties, the 2016 EY DoP was imposed upon the parties by the Minister. Having heard the concerns raised by the parties, the Minister had agreed that it would be necessary to review these through a comprehensive DoP review. The minister directed that the DoP ratio of 77% to 23% in favour of the farmers be implemented pending another comprehensive DoP review process which would consider the concerns raised by the parties. That review would require considerable time and resources hence the decision to apply the 2016 EY DoP ratio in the meantime.

[11] The parties went for several years without the review which the minister had promised was needed to address concerns raised in connection with the 2016 EY DoP. It was only in 2022 when the parties were negotiating a new milling agreement that the issue of the DoP resurfaced. The applicants as millers pointed out to the views expressed by the then minister that what was required was a review of the DoP, but the farmers insisted that a validation of the 2016 EY DoP was necessary.

[12] The farmers approached the first respondent and the then incumbent minister leaned on the applicants to go for validation of the DoP which the applicants had submitted was not necessary after suggesting a complete review. The applicants claimed that they were forced into the DoP validation process by the then minister.

[13] Following the first respondent's directive for parties to undertake a validation exercise of the 2016 EY DoP, a Technical Working Group (TWG) comprising of farmers and millers was established to negotiate milling agreements and redress other outstanding industry issues. The parties also proceeded to sign a memorandum of understanding (MOU). In the MOU, the parties resolved to engage EY to issue a final report (DoP Validation), addressing errors and/or inaccuracies that existed, and to finalise their 2016 report. The MOU also recorded an agreement to appoint a consultant to carry out a DoP review exercise to determine a fair, just and equitable pricing formula for sharing proceeds between farmers and millers. It outlined the period within which any adjustments made would be applied, how the costs for the

exercise would be met and that the findings of the 2016 DoP final validation report would be final and binding between the parties.

[14] The applicants prepared and submitted their submissions to EY in October 2023, in relation to the validation exercise. The submissions incorporated by reference the earlier submissions on the millers' reservations with the 2016 EY DoP report in their earlier letter of 10 August 2016. In December 2023, EY declined the mandate to undertake a validation of their 2016 DoP determination. They insisted that their report was final.

[15] According to the applicants, the first respondent at the insistence of the farmers, appointed the second respondent in March 2024 to carry out the validation exercise which EY had declined to do. Unlike with the engagement of EY, no new MOU was recorded independent of the MOU agreed by the parties in respect of the EY engagement. There was disagreement over the suggestion by the millers that a new MOU be signed by the parties. The second respondent was appointed in terms of an agreement that they entered with the first respondent.

[16] The second respondent held meetings with the parties wherein the scope of the assignment was explained by the parties. Thereafter it met with the farmers and millers separately. In the meeting with the millers on 17 June 2024, no meaningful submissions were made on material issues bearing on the inquiry, save for the second respondent seeking clarity on how the industry operated. The first respondent sent an email containing what were said to be submissions by the farmers and millers respectively. The applicants averred that what was enclosed as the farmers' submissions was a recent draft dated 27 March 2024, while the millers were restricted to what they had submitted to EY in October 2023.

[17] According to the applicants, the millers wanted to update their submissions for the DoP validation process if a new consultant would be engaged as the earlier submissions were for EY who had prior experience of the exercise, but their request was refused. The farmers recent submissions of 27 March 2024 which they were allowed to tender was far detailed and tailored to what the second respondent wanted addressed than that which the millers were restricted to which had been prepared for a different consultant under different circumstances.

[18] The second respondent produced its report which was addressed to the first respondent and dated 31 July 2024. The applicants claimed that they heard about the outcome of the validation report from the media before it was communicated to them by the first respondent. The applicants wrote to the first respondent complaining about the issue, but they received no response. They were summoned to a meeting with the first respondent on 7 October 2024, at

which the minister announced the outcome of the report and thereafter confirmed it in his letter of 8 October 2014, in which he directed the implementation of the DoP which was reviewed upwards to 80.5%:19.5% in favour of the farmers.

[19] The applicants contended that the purported validation was fundamentally flawed and grossly irregular for the following reasons:

a) They were not given an opportunity to make submissions to the second respondent and were limited to their past draft submitted to EY, while the farmers were allowed to submit fresh detailed and tailored written submissions prepared only after the second respondent had been appointed, but after its preliminary meeting with the parties on 25 March 2024. One party had the advantage of being heard at the expense of another, and the parties were not treated equally.

b) By its own admission in its report, the second respondent conceded that it did not have the benefit of access to and reviewing the 2016 EY DoP report which it purported to validate. The question that arose was what the second respondent considered if they did not go through the document that they purported to impugn and review.

c) Assumptions and methodology were not specified by the consultant as the report was too abridged and one wondered how they came up with their conclusions. The absence of detailed reasons for departing from the 2016 EY report that they purported to validate meant that the second respondent's report was liable to interference for breach of the duty to give reasons for administrative action taken.

d) It was not explained how the second respondent claimed to have obtained key information of components to the DoP when they did not undertake an independent enquiry and personal verification of information. This was significant because one of the concerns in the EY report highlighted in the submissions by the millers was that farmers costs were not substantiated. There was no evidence in the consultant's report of the review of costs by farmers and millers which was a key input to the DoP determination. This meant that the second respondent asked itself wrong questions and arrived at the wrong conclusion.

e) There was no comment or consideration given by the second respondent in their report on the issues raised in the October 2023 submissions by millers. This was significant because the terms of reference given by the first respondent required them

to take into account the alleged errors or omissions raised by the farmers and millers in coming up with their validation report.

f) The second respondent cherry picked on items to adjust without giving reasons at all on why they focused on those issues alone. They made assumptions that were irrational and unsupported. One such assumption pertained to the adjustment of the sugar production capacity to the 640,000 tonnes which was said to be the total installed capacity, thereby conflating the installed capacity with the production capacity.

g) By extension of reasoning, if the second respondent was using the capacity concept, they similarly should have made adjustment to farmers' production as well as to capacity of 5.2 million cane crushed over the average area under cane of 45 000 hectares. It should also follow that every farmer should have a yield of 115.5 tonnes cane per hectare to enable the millers to perform at that capacity. If the same concept was applied, then the growers' costs per tonne should have also been adjusted accordingly to ensure fair play. It was not clear why only the milling capacity was adjusted but not the growers' capacity.

h) It was not clear where the second respondent got the 640,000 tonnes especially when none of the parties referred to it, neither the farmers nor the millers.

i) The whole determination got tilted into an efficient miller without an efficient farmer to supply the same level of cane. One would have expected them to apply the same concepts in arriving at their conclusion.

j) With a DoP that was going to be the highest in the world, and with such material impact with the potential to shut down mills, if the second respondent would have done a benchmarking exercise, it was remiss that the first and second respondents would come to such a conclusion without detailed and convincing assumptions and re-computations.

k) The second respondent's report did not state whether the 19.5% allocated to the miller was exclusive of VAT, meaning that the effective distribution was even more inimical to the applicants as after VAT the miller's share of the DoP was drastically reduced to 16.96% against the farmers 83.04%, much lower than the 19.5% the second respondent presupposed.

l) The applicants were also at a loss as to why the first respondent ignored the recommendation by the second respondent that more work, that is time and

resources, be availed to comprehensively develop a DoP model that was representative of industry dynamics and the efficiency hypothesis. The first respondent had already ordered the implementation of the new DoP when the expert itself qualified its opinion for lack of full information and recommended a fresh DoP review.

[20] The applicants averred that the first respondent's directive borne out of a fundamentally flawed report by the second respondent with cocktail of errors could not be reasonable, just and fair as was required of the first respondent as an administrative authority to act reasonable and in a fair manner, and to give sufficient reasons for his actions. It was further averred that matters concerning DoP that fell outside the purview of the powers of the first respondent should be resolved by agreement of the parties and not assumed directives by an administrative authority which were *ultra vires*. The first respondent's directive, to the extent that it commanded implementation of the second respondent's validated DoP was unlawful.

First Respondent's Case

[21] The first respondent's case was as follows. He is mandated to administer the Sugar Production Control Act[1] (the Act). That law provides for the control and regulation of sugar manufacturing, sugarcane delivery, and the setting of sugarcane prices amongst other related matters. The applicant and farmers have a longstanding dispute on various issues, and when they fail to reach consensus, they approach the first respondent for mediation. The parties failed to reach consensus on the milling agreement and other related issues, and a Technical Working Group was formed. The group was created with the objective of addressing all disagreements including the DoP issue.

[22] Due to allegations of impartiality levelled against the office of the first respondent, it was recommended that the parties pursue the arbitration route. The parties failed to agree on the terms of reference for arbitration resulting in significant delays. The DoP issue was subsequently excluded from the arbitration process as the parties could not agree on whether to validate or review the existing EY DoP. The first respondent averred that the DoP validation exercise was done within the scope of his authority. Section 10 of the Act empowered him to set the price paid to farmers for delivered sugarcane. That law was enacted in 1964, and it mandated a price setting mechanism where millers purchased sugarcane from farmers at a price determined by the minister.

[1] [*Chapter 18:19*]

[23] While the industry later adopted the DoP arrangement, the minister's role in determining the DoP persisted for nearly two decades. This practice, which was acquiesced to by both farmers and millers, had evolved into custom, and while customary law was not formally codified, it was recognised as legitimate law. The minister's determination of the DoP ratio had become a well-established practice accepted by both farmers and millers. It was therefore hypocritical for the applicants to now challenge the minister's authority when both farmers and millers had always engaged the first respondent's ministry for the determination of the DoP. This contradicted their assertion that the first respondent lacked authority to determine the DoP. The MOU signed by the parties, including a representative of the first respondent, acknowledged the minister's role in determining the DoP and the binding nature of his decision.

[24] The first respondent pointed to the contradiction arising from the applicants' position that while on one they advocated for the continued application of the 2016 DoP, a decision made by the former minister, they simultaneously challenged the first respondent's authority to determine the DoP. Further, the review of the 2016 DoP that the applicants advocated would also be done by the same minister.

[25] The first respondent denied that the 2016 DoP was imposed on the parties. He argued that the then minister, acting within his authority to determine the DoP, set the ratio he considered to be in the best interests of both parties. If either party was aggrieved, it was entitled to challenge the decision in court. According to the first respondent, the farmers instituted proceedings challenging the millers' decision to garnish their accounts while implementing the 2016 DoP, and the court found in favour of the applicants. The 2016 DoP was an interim measure agreed by the parties pending validation. A TWG comprising representatives of the applicants and the farmers agreed that the validation should be carried out by the second respondent. The ministry did not disregard the review process; it prioritised validation as a necessary preliminary step. The review would be conducted in terms of the MOU, which provided that it would take place in the period leading up to 31 March 2025 and be implemented on 1 April 2025.

[26] The first respondent also averred that the TWG, in which the applicants were also members, decided that no new information would be provided or introduced for the validation process. This was because the purpose of the exercise was the validation of the EY report, meaning that the parties were required to submit the same submissions they had submitted for the EY report. The farmers submitted the same information they had submitted

when the parties were asked to do so in October 2023. It was only that the farmers submitted the same information under cover of a letter dated 27 March 2024, when they sent the submissions in March 2024. The applicants and the farmers were given an opportunity to be heard, and they were actually heard. The parties were treated fairly and consistently throughout the process.

[27] The first respondent also averred that the second respondent had access to all the material information required to prepare the validation report. The ministry also provided the second respondent with a detailed summary of the EY report, which had the relevant information. The first respondent denied that he simply adopted the recommendations of the EY report, insisting that he made an informed decision after a careful analysis of the report.

Second Respondent's Case

[28] The second respondent opposed the application as follows. Its findings were fair, reasonable and in line with the scope of its mandate with the first respondent. In carrying out its mandate it had access to financial records, previous findings and reports and all relevant persons from the first respondent. It carried out its mandate as engaged and came up with a validation report of the 2016 EY Division of Proceeds for the sugar industry.

[29] The respondent recommended that the DoP be pegged at 80.5% to 19.5% in favour of sugarcane growers. This was arrived at after the second respondent considered representations from both parties, that is the farmers and the millers. Also considered was key information collected from the first respondent which included assumptions agreed to by the parties. this included cane growing costs, average milling costs, ERC %, average farm size and average production of cane and crystal sugar.

[30] The second respondent claimed that it obtained farmers' and millers' submissions at the time of receiving of the draft DoP ratio and oral presentations from the two groups of their submissions. the second respondent also used public information that was readily available such as financial statements and market updates by millers.

[31] The second respondent claimed that it was a consultant who acted professionally in line with its mandate and the first respondent could either accept or reject its recommendations. In terms of the mandate, the second respondent was required to come up with a validation based on the submissions made by the parties as of October 2023. The decision to adopt the second respondent's recommendations was for the first respondent to make and that being the case, the second respondent was improperly joined to the proceedings as it was not an administrative authority.

[32] The second respondent denied that farmers had a free had to submit fresh, detailed and tailored information. It insisted that it limited its findings to the submissions filed by the parties as of October 2023. Its findings were based on efficient farmer and efficient miller. The second respondent heard both parties and utilised the submissions in terms of its scope. No new submissions were allowed. The parties' submissions are what the second respondent utilised to come up with its findings using the methodology stated in its report. The second respondent also argued that its findings could not be discredited simply by comparison with world statistics since circumstances differed from country to country.

Third to Thirteenth Respondents Case

[33] The opposing affidavit was deposed to by one Langton Chivasa in his capacity as an executive member of the fourth respondent. He also deposed to the affidavit based on a resolution prepared by the third to thirteenth respondents. His deposition was as follows. At all material times he was one of the representatives of the third to thirteenth respondents in the Technical Working Group (TWG) which dealt with the DoP issue.

[34] The third to thirteenth respondents were associations/mill groups comprised of out grower cane farmers, and their membership exceeded 1200 farmers. They were all beneficiaries of the agrarian land reform, and they had a combined total land under cane of approximately 20 240 hectares and collectively contributed 44% of the total industry cane delivered to the two mills owned by the applicants.

[35] From 2016, the industry had been operating under a draft EY determined DoP ratio of 23% (milling charge) and 77% (farmer share). The DoP ratio was directed by the then Minister ofwas communicated through a directive issued by the Minister Industry and Commerce in 2016 in a letter dated 23 November 2016. The applicant and the third to thirteenth respondents acted on the directive and the DoP was applied pending validation since both the applicants and the third to thirteenth respondents had reservations about the ratio. The applicants and the third to thirteenth respondents belonged to the Zimbabwe Sugar Association, an association of sugarcane farmers and the two sugarcane millers.

[36] Further according to the deponent, the EY report did not result in the full and final resolution of the dispute between the applicants and the respondents. There were several inaccuracies in the draft report and that both parties herein were not content with. The validation process would factor in the concerns of the farmers and millers to come up with a final DoP ratio.

[37] On 8 June 2021, the applicants and the third to thirteenth respondents' representatives attended a mediation meeting before the then Chairman of the Zimbabwe Sugar Association, Muchadeyi Masunda to discuss the issues in dispute. The issues remained unresolved. After failing to reach a resolution through the Zimbabwe Sugar Association route, the parties (millers and farmers) approached the first respondent and sought its assistance in resolving the dispute between them.

[38] When the dispute remained unresolved, the first respondent with the concurrence of the parties agreed to have the dispute resolved through arbitration. An arbitral tribunal was appointed with the participation of the applicants and the third and thirteenth respondents' representatives. The parties met at the instance of the arbitral tribunal and agreed on the issues for resolution. Other issues such as the DoP were referred to the Technical Working Group (TWG) as they could not be dealt with at arbitration.

[39] The TWG had millers and farmers willingly engaging on industry matters and these matters extended to the appointment of Zimbabwe Sugar Association chairperson, whose mandate was not limited to issues to deal with DoP alone. The deponent averred that the second respondent was contracted by the applicants and representatives of the third to thirteenth respondents. The first respondent merely played a facilitative role in signing the contract upon being requested to do so by the parties. The two parties remained the principals in the contract. The second respondent was chosen to do the validation following a selection process in which both millers and farmers participated. The contractual obligations remained with the applicants and the third to thirteenth respondents who settled the second respondent's fee as the key player. The second respondent was therefore engaged by the applicants and the third to thirteenth respondents' representatives, both of whom went on to develop the terms of reference upon which the second respondent would be engaged.

[40] According to the deponent, all farmers supplying sugarcane to the applicants namely those under the Cane Purchase Agreement (CPA) and those under the Sugar Milling Agreement (SMA) were paid in terms of the DoP ratio for their cane delivered to the mill. The only difference was that those under the CPA were paid part of their proceeds in advance whilst those under the SMA were paid on a cash received basis, a function of actual sugar received. Further, whilst those under the CPA were paid a fixed price determined with reference to DoP and other factors stated in s 10 of the Sugar Production and Control Act, any change in the DoP ratio would result in a corresponding change to the cane fixed price on

a pro rata basis. Clause 1.17 of the Farmers DoP percentage of the CPA clearly stated that the percentage was 77% and that such ratio was subject to change by mutual agreement.

[41] It was further averred that s 10 of the Sugar Production Control Act provided guidelines to be applied in determining the price of cane for farmers. These were the same factors referred to by the applicants herein and these factors were applied to both CPA and SMA price determination. Further the applicants had through a letter by Mr Gavin Hudson of 20 September 2022, confirmed that the provisions of s 10 of the Act were applicable to the milling agreement. The applicants seemed to be suggesting that s 10 of the said Act were not applicable to the DoP under a milling agreement, an assertion that was contradictory to what they stated in their said letter.

[42] It was further averred that while the PWC review was validated by the parties, the one carried out by EY was not, hence it remained a draft. The build up to the DoP validation was very clear and had a decision trail that was well documented. All parties were provided with the opportunity to furnish a detailed issue-based submissions on what they perceived to be errors in the EY DoP ratio calculation per their draft. Whilst it was noted that farmers were a diversified group with different levels of literacy, financial expertise, and business acumen, the adoption of an efficient model for the applicants and farmers was meant to ensure equity and that the applicants were not disadvantaged. Standard costings and capital investment were good benchmarks for arriving at sugarcane production costing and capital employed representative of cane growing costs and capital employed for efficient farmer model adopted by EY.

[43] The DoP validation was agreed between the applicants and farmers who both contested the EY DoP findings. Both parties had the opportunity to present their issues in greater detail on the back of an agreement wherein the parties agreed to be bound by the outcome of the validation exercise. There was an agreement between the applicants and the third to thirteenth respondents to that effect. There was never any imposition by the first respondent. The deponent also denied that the applicants were forced into the DoP validation. In their letter of 5 October 2023, the applicants acknowledged the TWG, a formation of the meeting on the Policy Framework of the Sugar Value Chain, including División of Proceeds. The decision to carry out a DoP validation exercise was never directed by the first respondent. It was reached by consensus as part of the TWG implementation matrix. Further, the DoP being a long, drawn-out issue of contention between the applicants and farmers, it was only proper to go

for validation and in the process respecting the wishes of key industry players such as millers and farmers.

[44] On the EY report, the deponent also averred that it was surprised that the applicants went on to submit 'brief and concise' submissions on the assumption that EY 'had a background with the matter'. The applicants could not query the findings of EY and allege that the findings were flawed whilst at the same time suggesting that they assumed EY had background with the matter, presupposing that EY was going to correct its own errors in favour of the applicants. In the absence of anything to the contrary, such an assumption could only apply if the applicants had been given an assurance by EY that EY was privy to the specific errors in the findings. To expect EY to do it differently without providing them with details of the perceived specific errors was to stretch it too far. EY or the second respondent could not guess what the correct values claimed to have been understated in the EY report should be. The applicants only had themselves to blame.

[45] It was also averred that the selection of the second respondent was done through the TWG where decisions were made collectively by mutual agreement between the applicants and the third to thirteenth respondents' representatives. Whilst the MOU signed by the parties specifically identified EY as the entity to carry out the validation, it was of no material consequence that the validation was done by the second respondent. In any event, the applicants fully participated in the whole process leading to the appointment of the second respondent with both parties fully aware that EY had recused themselves. The respondents also denied that they filed fresh submissions to the second respondent, insisting that the submissions dated 27 March 2024 were the same as the submissions earlier submitted save for the date.

[46] The respondents averred that the second respondent's focus was confined to issues detailed in the submissions made by the millers and farmers. Whilst they were denied access to the EY report, they were furnished with a reproduced report on the ministry's letterhead with similar details as that on the EY letterhead. As farmers, the respondents were concerned that the same report denied the second respondent was now the same report forming the applicants' record. While the respondents raised numerous issues which may not have been highlighted in the second respondent's report, they respected the second respondent's findings.

[47] The deponent also averred that the EY DoP review assumed an efficient farmer whilst for the applicants the actual production volumes were applied. The respondents argued that

mill efficiency should not be a function of the cane through put or cane production. The efficiency model assumed installed capacity. In the case of farmers, EY assumed 100 tons per hectare and ERC of 12.5%. The 640,000 tons installed capacity for the applicants was well documented in published financials for one of the applicants. The third to thirteenth respondents certainly referred to the 640,000 tons in their submission.

[48] It was also submitted that the applicants were reported as the highest contributors to the Tongaat Hulett group's profitability and history confirmed that the millers had a high profit margin of safety. Their operations or profitability would not be significantly impacted by a DoP of 80.5% to 19.5%. The industry once operated at a DoP of 82.65% to 17.35% from 2014 to 2016 and the first applicant still managed to post significant profits. The farmers were merely seeking an equitable share of revenue, leaving the strategies for profit enhancement for the milling operation to the applicants as the owners of the milling plants. It was further averred that the farmers were contending that if an assumption was applied in arriving at a common ratio impacting more than one player, it was crucial that there be consistency. What the applicants were not mentioning was that the overall profitability of their operation, which they left to the court to speculate. The applicants could not be allowed to make super profits at the expense of the farmers.

[49] According to the respondents, the focus was on arriving at an equitable ratio that was fair and just reflective of economic fundamentals inherent in the sugar production value chain. It was a given that such a DoP was inclusive of VAT even as was the case with the 77% to 23% DoP. In any event, issues of VAT were for ZIMRA's consideration as it fell under their purview. The second respondent's mandate was narrowly focused on the validation of the EY DoP review findings, confining themselves to the issues raised by the disputants in their submissions. Their mandate was not to extend into the DoP review.

The submissions on the preliminary points

[50] The first respondent raised two preliminary points in its heads of argument. The first was that the application was bad in law. It was submitted that what was before the court was an application for review cleverly clothed as one for a *declaratur*. The substance of the application showed that it was an application for review. A perusal of the founding affidavit showed that the applicants complained about the following: lack of jurisdiction on the part of the first respondent to determine the DoP ratios; gross irregularities in the appointment of the second respondent and the process of calculating the DoP ratio adopted by the second respondent and the alleged bias.

[51] In his submissions, *Mr Madhuku* for the first respondent submitted that from a reading of paragraph 6 of the founding affidavit, it was clear that the application sought relief by way of review and *declaratur*. What was before the court was therefore a combination of two applications. Counsel further submitted that it was irregular to combine a review under s 4 of the AJA and a *declaratur* under s 14 of the High Court Act. It was further submitted that an application for review had to comply with r 62 of the High Court Rules, and that was mandatory. The grounds for review had to be set out on the face of the application.

[52] *Mr Madhuku* further submitted that one could not combine two causes of action, that is a *declaratur* and a review without being clear on what remedy they were seeking before the court.

[53] Still on the same point, *Mr Madzoka* for the third to thirteenth respondents submitted as follows. The application before the court was brought in terms of s 4 of the AJA. To that end, it was one for judicial review. The applicants' own submissions confirmed it was one for review. Counsel pointed to several instances in the applicants' heads of argument where specific reference was made to judicial review.

[54] *Mr Madzoka* further submitted that the applicants ought to have complied with rr 62 and 95 of the High Court rules which dealt with judicial review. The mere fact that the application was made in terms of s 4 of the AJA did not excuse the applicants from complying with the said provisions of the rules.

[55] Counsel also submitted that at any rate, the decision that the applicants sought to have reviewed was merely an opinion of the second respondent which was made at the instance of the first respondent. The applicants had no right to seek a review of an opinion of the second respondent.

[56] In his response, *Mr Mpofu* for the applicants submitted that paragraph 6 of the founding affidavit was clear on what the application before the court was. Once it was accepted that the application was filed under s 4 of the AJA, then it was not necessary to bring it within the ambit of the High Court rules. Counsel referred to the case of *Gwarazimba N.O. v Gurta A.G.*[2] to support this point. Counsel also submitted that an application for a *declaratur* could also be brought under s 4 of the AJA.

Analysis of the preliminary point whether the application was properly before the court

[2] SC 10/15

[57] The issue for determination arising from the preliminary point is whether there was a proper application before the court. To resolve that issue, it is critical to understand the nature of the application before the court. The heading on the cover of the application described it as an **"URGENT COURT APPLICATION FOR A DECLARATUR".** Paragraph 6 of the founding affidavit, which is under the heading **"Nature of Application"** stated as follows:

> "6. This is an application made in terms of section 4(1) of the Administrative Justice Act [Chapter 10:28] and section 14 of the High Court Act [Chapter 07:06] for…."

[58] The way para 6 above was phrased left one with the impression that what was before the court was a composite application for review and a *declaratur*. To have a fuller appreciation of the two provisions, it is necessary to recite them hereunder.

The AJA

[59] Section 4 of the AJA states as follows:

> **"4 Relief against administrative authorities**
> (1) Subject to this Act and any other law, any person who is aggrieved by the failure of an administrative authority to comply with section *three* may apply to the High Court for relief.
> (2) Upon an application being made to it in terms of subsection (1), the High Court may, as may be appropriate—
> (a) confirm or set aside the decision concerned;
> (b) refer the matter back to the administrative authority concerned for consideration or reconsideration;
> (c) direct the administrative authority to take administrative action within the relevant period specified by law or, if no such period is specified, within a period fixed by the High Court;
> (d) direct the administrative authority to supply reasons for its administrative action within the relevant period specified by law or, if no such period is specified, within a period fixed by the High Court;
> (e) give such directions as the High Court may consider necessary or desirable to achieve compliance by the administrative authority with section *three*.
> (3) ……..)."

[60] Section 2 of the AJA defines an administrative authority to include a minister or deputy minister of the State. Section 3 of the AJA prescribes the duties of an administrative authority. An administrative authority is required to act in a lawful, reasonable and fair manner. In doing so it must act within the period specified by law, and in the absence of such a specified period, within a reasonable period of being requested to take such action. Where action was taken, then written reasons for such administrative action had to be furnished.

[61] What is clear from a reading of the above provisions is that the law aims to regulate the administrative conduct of administrative authorities to ensure accountability by those who hold public office. Sections 3 and 4 of the AJA subject administrative conduct to judicial review to interrogate its compliance with the legal framework under which it was exercised.

This position of the law was confirmed in the *Gwarazimba N.O. v Gurta A.G (supra),* where the court held as follows:

> "I find little to fault in the reasoning of the court *a quo* on this point. As correctly stated, s 4 (1) of the Administrative Court Act ("the Act") provides that the statutory relief referred to by the judge *a quo* may be sought by way of an application to the High Court. However no specific format for such application is prescribed. While a review in terms of the High Court Rules is a special form of application, there is nothing in s 4(1) to suggest that any other form of application for judicial review would in any way offend against that sub-section as long as it meets the requirements of an ordinary court application."

[62] In the same judgment, the court also commented on the review powers of this court under s 27 of the High Court Act and s 4 of the AJA as follows:

> "My understanding of this provision (s 27) is that the High Court Act contemplates and permits review proceedings that are brought before it in terms of "any other law." Specifically, judicial review may be done in terms of another statute, for instance the Administrative Justice Act, as happened *in casu*. Further to this, and as clearly indicated above in subsections (1) and (2) of s 27, grounds for review are not limited to those particularised in that section. Other laws can properly dictate the consideration of, or specify, other grounds on the basis of which proceedings of a lower court or tribunal may properly be reviewed."

[63] A person aggrieved by the conduct of an administrative authority can competently challenge it in terms of s 4 of the AJA, as read with s 3(1) of the same Act. A s 4 application is independent of a s 27 application.

The *declaratur*

[64] The relief of a declaratory order is provided for by s 14 of the High Court Act which states as follows:

> "The High Court may, in its discretion at the instance of any interested person enquire into and determine any existing, future or contingent right or obligation, notwithstanding that such person cannot claim any relief consequential upon such determination".

[65] A *declaratur* seeks to clarify or define the parties' legal rights, duties or obligations. It provides a binding statement of the law on what a party's rights are. The party approaching the court for such relief must demonstrate that they are an 'interested person', in the sense of having a direct and substantial interest in the subject matter of the suit which could be prejudicially affected by the judgment of the court.[3]

[66] To succeed in an application for a *declaratur*, the nature of the right that an applicant seeks to assert must be clearly articulated. The point was made in the case of *Electrical*

[3] See *Johnsen v Agricultural Finance Corp* 1995 (1) ZLR 65 (S) at p 72E-F and *Dongo v Naik & 5 Ors* SC 52/20 at p 6-7

Contractors' Association (South Africa) and Another v Building Industries Federation (South Africa) (2)[4] as follows: -

> "A person seeking a declaration of rights must set forth his contention as to what the alleged right is. (See *O'Neill v Kruger's Executrix and Others*) 1906 TS 342 at 344-5; *Smit v Roussow and Ors* 1913 CPD 436 at 441.)." (*emphasis added).*

What application was before the Court

[67] Having explored the legal foundation of the two forms of relief set out in the applicants' founding affidavit, it still behoves the court to determine what application was before the court. The nature of the application before the court is resolved by reference to the contents of the founding affidavit where there appears to be a conflict between the heading on the cover of the application, the relief sought and the founding affidavit.[5]

[68] The applicants' case as pleaded in the founding affidavit showed that their complaint was more about the administrative conduct of the first respondent than anything else. In para 22 of the founding affidavit, the applicants complained about the validation of the EY report by the second respondent, which they dismissed as fundamentally flawed and grossly irregular for the reasons set out in that paragraph. In para 23, the applicants also averred that the first respondent's directive, borne out of a fundamentally flawed report by the second respondent with cocktail of errors *"cannot be reasonable, just and fair as is required of the 1st Respondent in terms of his responsibility as an administrative authority to act reasonably and in a fair manner, and to give sufficient reasons for his actions"*. In paragraph 31 of the founding affidavit, the applicants averred that:

> "That the 1st Respondent has an obligation, and resultantly that Applicant is entitled to administrative action by the 1st Respondent that is lawful, reasonable, fair and sufficiently reasoned cannot be gainsaid. For reasons already explained above the action taken by the 1st Respondent in its letter of the 8th October 2024 fails to meet the standard and requirement, neither can it be denied that the Applicants' rights to administrative justice from the 1st Respondent are impaired……" (Underlining for emphasis)

[69] That the complaint was directed at the administrative conduct of the first respondent consistent with s 4 of the AJA is also discernible from the nature of the relief sought as captured in paragraphs 6.1 to 6.4 of the founding affidavit. The applicants' founding affidavit did not plead a case for a *declaratur*. The nature of the right for which a *declaratur* was sought was not set out. The applicants' heads of argument also revealed the nature of the application before the court. In para 9 of the heads of argument, it was stated that:

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[4] 1980 (2) SA 516 (T) at 519H-520B

[5] See *Ahmed v Docking Station Safaris (Pvt) Ltd t/a CC Sales* SC 70/18 at p 3 of the judgment

> "Application in this matter has been made in terms of section 4(1) of the Administrative Justice Act [Chapter 10:28] (AJA). The provision allows for the making of an application by any person aggrieved by the failure of an administrative authority to comply with section 3 of AJA…."[6]

[70] No further reference was made to the *declaratur*, or to the essential requirements of that kind of relief. The court therefore agrees with the first respondent's submission that what was before the court was an application for review, which the applicants also sought to portray as one for a *declaratur*.

Whether the requirements of an application for review were complied with

[71] Having established that in substance the application before the court was one for review, the next issue to determine is whether the application was required to comply with r 62, which sets out the procedure applicable to review applications. Rule 62(1) provides that proceedings challenging the decision of an official performing an administrative function shall be by way of a court application which must be served on interested parties including the official who made the decision. Rule 62(2) provides that:

> "(2) The court application shall state shortly and clearly the ground upon which the applicant seeks to have the proceedings set aside or corrected and the exact relief prayed for all of which shall appear on the face of the court application."

[72] The question whether a s 4 application must comply with r 62 was dealt with in the *Gwarazimba N.O. v Gurta A.G* case referred to above. Having observed that the wording of s 27 of the High Court Act, permitted judicial review in terms of any other enactment, the court further stated as follows:

> "Based on the authorities cited I am satisfied that the failure by the appellant as an administrative authority to take action when properly requested to do so, constituted an irregularity which may properly be the subject of judicial review. However, for the reasons stated above, I am not persuaded that the only form of review proceedings in the circumstances of this case, would be those in terms of Order 33 r 257 of the High Court Rules…"[7] (Underlining for emphasis)

[73] Further down the same judgment the court reinforced the position that review proceedings were not just confined to o 33 r 257 of the old High Court rules, when it commented as follows:

> "This argument seems to suggest that review proceedings that are brought in terms of Order 33 of the High Court Rules enjoy a monopoly over the grounds on which interference with an order or proceedings of an inferior court or tribunal, may be justified. I am not persuaded that is the case. As indicated above ss 26 and 27 of the High Court Act [*Chapter 7:06*] and r 256 of the High Court Rules do not rule out review proceedings being brought in terms of" any other law." I take the view that such other review proceedings may properly rely on the same or similar grounds as

[6] See para 9 page 615 of the record
[7] At p 7 of the judgment

> a basis for some interference or other, by a superior tribunal, with a lower tribunal's order or proceedings[8].

[74] Order 33 r 257 of the 1971 rules was worded pretty much the same way as r 62(2) of the High Court rules, 2021. The significance of the above authority is that the court made a finding that a litigant seeking review under s 4 of the AJA was not obliged to follow the review procedure set out in r 62 of the High Court rules, 2021. The court had already observed earlier in the judgment that while a review under the High Court rules was a special form of application, there was nothing in s 4(1) of the AJA to suggest that any other form of an application for judicial review would offend that law for as long as it met the requirements of an ordinary court application.

[75] In his submissions on the point, *Mr Madhuku* argued that the *Gwarazimba* case could not be used as a license to render rules of court worthless. Citing the case of *Mupungu v Minister of Justice, Legal and Parliamentary Affairs,*[9] counsel further argued that a litigant that wished to approach the court had to comply with the rules of court. *Mr Madhuku* further submitted that to the extent that the *Gwarazimba* case was inconsistent with the findings of the Constitutional Court in the *Mupungu* judgment on the application of rules of court in all forms of applications, then the position of the law espoused in the *Mupungu* judgment prevailed. In response, *Mr Mpofu* submitted that the circumstances of the *Mupungu* case were different from the present matter and that decision was inapplicable herein.

[76] The *Mupungu* judgment was concerned with the failure by the applicants in the High Court to seek and obtain leave in terms of o3 r18 of the High Court Rules, 1971 to sue the Chief Justice, Deputy Chief Justice, Acting Judges of the Constitutional Court and Acting Judges of the Supreme Court. The High Court had decided that such leave was not necessary. The reasons for reaching that decision were that: the relevant rule of court did not apply to application proceedings but to action proceedings; the applications before the court were made in terms of s 85 of the Constitution and there was no requirement for leave to be granted in an application made pursuant to that section. The last reason was that the affected judges were cited in their official capacities and had not filed opposing papers challenging their citation without leave.

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[8] For instance, in *Johannesburg Consolidated Investment Co and Anor v Johannesburg City Counci 1903 TS 111* the court distinguished three types of reviews, being review by summons, a wider power of review granted by statute and thirdly……review by motion.

[9] CCZ 07/21

[77] Order 3 r 18 of the High Court rules, 1971, which were the applicable rules at the material time provided as follows:

> "*18. When leave of court required for issue of process*
> No summons or other civil process of the court may be sued out against the President or against any of the judges of the High Court without the leave of the court granted on court application being made for that purpose." (my emphasis)

In setting aside the decision of the High Court on that point, the Constitutional Court made the following insightful observation:

> "One cannot institute an action or application in the High Court, or any other court, without due observance of and compliance with the Rules of that court. The Rules inform a litigant of what is required of him to access the court concerned. If he fails to observe or comply with those Rules, he will inevitably be non-suited. To conclude this aspect of the matter, I am satisfied that the proceedings *a quo* were fatally defective and constitute a nullity for failure to comply with r 18 of the High Court Rules and consequential lack of jurisdiction by the court *a quo*….." (Underlining for emphasis)

[78] The view of this court is that the above observations are apposite and relevant to the issue before the court for the following reasons. Firstly, apart from being a judgment of a court of superior jurisdiction to the Supreme Court, the *Mupungu* judgment was handed down in September 2021, some six years later after the *Gwarazimba* judgment was handed down in March 2015. Secondly, a reading of r 62(1) of the High Court Rules, 2021, does not seem to suggest to me that that the application of the rules is irrelevant to a s 4 application. The provision states that:

> "***62. Reviews***
> (1) Save where any other law provides, any proceedings to bring under review the decision or proceedings of any inferior court or of any tribunal, board or officer performing judicial, quasi-judicial or administrative functions, shall be by way of court application directed and delivered by the party seeking to review such decision or proceedings to the……tribunal or board or to the officer, as the case may be, and to all other parties affected.
> (2) ……."

[79] Section 4(1) of the AJA applies subject to "…this Act and any other law,". In my view, while s 4(1) creates a substantive right which permits a litigant to approach the High Court for relief, it does not create a concomitant procedural framework to assert that right. That legal framework is provided by r 62. Further, in my respectful view, r 62(1) recognises that any other law may provide for the procedure to bring review proceedings before the High Court, in which case r 62 would not apply. Section 4 of the AJA does not prescribe the procedure for a review application made under that law. Consistent with the position of the

law espoused in the *Mupungu* judgment, it is the view of this court that a party filing a s 4 review application must therefore proceed in terms of r 62.

[80] The court therefore agrees with the submissions by *Mr Madhuku*, which are consistent with the position of the law expressed in the *Mupungu* judgment. The applicants ought to have proceeded in terms of r 62, more so considering that s 4 does not provide the procedure for approaching the High Court on review. The application is therefore improperly before the court for want of compliance with r 62 of the High Court Rules, 2021.

Whether the second respondent was properly joined to the proceedings and whether its opinion was reviewable

[81] *Ms Chinwadzimba* for the second respondent submitted that the second respondent was approached to validate the EY report as a consultant. The terms of its engagement and its scope were set out in the report. The first step was to validate the EY report and make recommendations to the first respondent. The second respondent merely gave an opinion which was not binding on the first respondent. The second respondent therefore ought not to have been cited to these proceedings.

[82] Counsel further submitted that the second respondent did not determine the DoP. It only gave an opinion as a private party and such an opinion was not reviewable.

[83] In their heads of argument, the applicants dealt with the two points raised by the second respondent as follows. The first respondent had delegated to the second respondent what he considered to be a function exercisable under s 10 of the Sugar Production Control Act, of determining the price payable by a miller to a farmer. The exercise carried out by the second respondent and the resultant outcome it recommended amounted to the discharge of a delegated administrative function which could be challenged as such. The court was referred to the case of *Vela v Auditor General of Zimbabwe & Anor*[10], in which the court held that delegated administrative functions were subject to judicial review.

[84] The court finds nothing irregular about the joinder of the second respondent to the proceedings. The second respondent did not deny that it was engaged to validate the EY report and make recommendations to the first respondent. By accepting the mandate and proceeding to generate what it called an opinion, it became an interested party to those proceedings. The applicants impugned some of its findings, and it was only proper that it be cited to provide some insight into its report. The second respondent's report is central to the

[10] CCZ 1/23

current proceedings. It was that report that the first respondent relied upon in making the impugned decision. There is therefore no merit in the objection concerning the joinder of the second respondent herein.

[85] However, the second leg of the applicants' submission that the second respondent acted on the basis of delegated administrative authority, as contemplated in the *Vela* judgment, is a matter that must be dealt with simultaneously with the point raised by the third to thirteenth respondents that the applicants were precluded from challenging the report by the second respondent, since the parties had agreed that the outcome of the validation process was final.

[86] The point must be considered in the context of the nature of the arrangement that existed between the parties culminating in the engagement of the second respondent to carry out the assignment of validating the EY report. This is because in the *Vela* case, the court found that s 9 of the Audit Office Act[11], empowered the Auditor General to appoint any registered public auditor to carry out any of the auditing functions required by the Act or any other enactment, and to report the results of such audit to the Auditor General. That was not the case herein. I say so for reasons that will be set out hereinafter.

Whether the applicants were precluded from challenging the second respondent's report

[87] This point was motivated in paragraphs 5-14 of the third to thirteenth respondents' heads of argument as follows. In terms of the MOU signed by the applicants, the first respondent and the third to thirteenth respondents, the parties agreed that the decision of the consultant on the DoP validation process was final and binding upon the parties. Where parties to a contract agreed that the decision of an umpire was final, then none of the parties was permitted to challenge such decision. Once challenged, it ceased to be final.

[88] The third to thirteenth respondents referred to decisions of the superior courts which reaffirmed the position of the law that parties must not be allowed to resile from contracts that they voluntarily signed. Where parties had agreed that the decision of the decision maker was final then that agreed position had to be given effect to.[12] The applicants had to be held to the contract that they signed. They could not be allowed to challenge the second respondent's report in breach of the undertaking they made in the MOU.

[89] In his oral submissions on the point, *Mr Madzoka* submitted that the parties agreed that the second respondent's report was final, and any other outstanding issues would be dealt

[11] [*Chapter 22:18*]
[12] See *Milne v Padday* 1914 EDL 277; *Zimbabwe Educational, Scientific, Social and Cultural Workers Union v Welfare, Educational Institutions Employers Association* SC 11/13.

with in the comprehensive DoP review process to be undertaken after the validation phase. In response, *Mr Mpofu* submitted that the MOU dealt with an agreement in respect of the engagement of EY and not the second respondent. Further, even if the MOU was binding, it was not final in its effect.

[90] The process leading to the engagement of the second respondent to validate the 2016 EY report is summarised in the applicants' own papers. In their heads of argument, the applicants claimed that the DoP had always been commercially determined by the parties (millers and farmers) through the engagements of experts such as chartered accountants who conducted a detailed review and made recommendations to the parties. The DoP review of 1999 was carried out by Price Waterhouse Coopers (PWC).

[91] The PWC report was reviewed by EY in 2016 following the intervention of the first respondent. Both the applicants and the third to thirteenth respondents were aggrieved by the outcome of the EY report. The third to thirteenth respondents were of the view that the EY report was a draft which required validation. The applicants on the other hand were of the view that the imperfections in the EY report could only be addressed through a **robust review** in order to come up with a scientific GoP ratio. This they claimed, was the position that had been taken by the first respondent after listening to the parties concerns with the EY report.

[92] According to the applicants, the parties sought **mediation** through the first respondent's office to help them resolve them their industrial disagreements which included the DoP issue. The first respondent's intervention led to the establishment of the Technical Working Group (TWG) which comprised representatives of the applicants, the first respondent and the third to thirteenth respondents. The TWG approached EY to validate its report, but EY declined the assignment insisting that a final DoP report had been delivered to the first respondent and they considered their engagement terminated.

[93] What is however critical to note is that the arrangement for the EY DoP validation process was formalised through an MOU signed by representatives of the applicants, first respondent and the third to thirteenth respondents. The second respondent was only engaged after EY declined to carry out the validation process. The engagement of the second respondent was therefore an extension of the same mandate that the parties sought to bestow on EY through the same MOU. I hold this view because from a reading of the applicants' case as pleaded, their grievance is not so much about the appointment of the second respondent. It was about the outcome of its validation process.

[94] Paragraph 3 bullet 4 of the MOU signed by the parties stated that ***"the findings of the 2016 DOP final report (DOP validation) will be final and binding on all parties."*** That the parties intended the outcome of the validation process to be an interim measure pending a robust review of the DoP was recorded in the same MOU. Para 3 bullet 2 stated that ***"the DoP once finalised will be valid from 1 April 2022 until the DOP review is completed".*** The letter of 8 October 2024 from the first respondent's office, which founds the applicants' complaint reads in part as follows:

> ***"*IMPLEMENTATION OF THE 2016 DOP VALIDATION RESULTS**
>
> Following our meeting on 07 October 2024, where the Minister, Hon. N.M. Ndhlovu announced the results of the 2016 DOP validation exercise, the Ministry advises that the DOP ratio to be implemented is 80.5% and 19.5% to farmers and millers respectively.
>
> Please take note of the 6th Technical Working Group meeting resolutions that the effective date for the implementation of this ratio is 01 April 2022.
> Please implement this determination as we prepare for a comprehensive and thorough DOP Review exercise….." (Underling for emphasis)

[95] The letter of 8 October 2024, when read together with the MOU is significant for the following reasons. Firstly, the DoP validation process was a collective position agreed upon by the parties working under the auspices of the TWG. It was borne out of a contractual arrangement involving three stakeholders. Secondly, it confirmed that the first respondent was only playing a facilitatory role. In their own words, the applicants claimed that they sought **"mediation"** through the office of the first respondent to help resolve their industrial disagreements.[13] Thirdly, having been approached to mediate and play a facilitatory role, the first respondent was not exercising any statutory function. Indeed, in para 10 of their founding affidavit, the applicants also make the point that traditionally, the DoP process never involved the first respondent. They state:

> "Such DoP has in the past been determined through a mutually agreed process involving engagement of an independent internationally recognised consultant with relevant expertise, usually an accounting firm…"

[96] Being the product of a mutually agreed process, regulated through the medium of an MOU, it followed that the outcome of the DoP validation process must be taken to reflect the joint will of the parties. It was not the first respondent that set the DoP. As a facilitator, the first respondent merely communicated the outcome of a process that the parties had subjected

[13] Para 5 of the applicants' heads of argument p 613 of the record.

themselves to through the TWG. It begs the question whether the applicants could seek a review of the outcome of a process that they voluntarily participated in through the TWG.

[97] Further, the question whether the applicants could seek a review of the outcome of the validation process by the second respondent must be considered in the context of the role played by the first respondent as an administrative authority as alleged by the applicants. Was the first respondent exercising any administrative function given its facilitatory role as confirmed by the parties, as well as being a party to the TWG? For the court to conclude that the second respondent was exercising an administrative function on behalf of the first respondent as contemplated by the *Vela* judgment, a finding must be made first that the first respondent delegated an administrative function to the second respondent.

[98] Having established that the first respondent only played a facilitatory role, and that the DoP validation process was the outcome of a contractually agreed position under the TWG, the court determines that the first respondent was not exercising a statutory or administrative function that was susceptible to review. The first respondent was also an active participant in the TWG, the driving force behind the validation process of the EY report. Once that finding is made, it also follows that the second respondent could not have exercised an administrative function liable to judicial review if the first respondent was not exercising an administrative function in the DoP validation process.

[99] The first respondent did not formulate the DoP ratio. It only communicated the outcome as a participant in the TWG. I say so because in its report, the second respondent reached the following conclusion:

> "Having made reasonable adjustments to inputs of the D.O.P formula, in our opinion the D.O.P ratio was supposed to be 80.5%:19.5% in favour of the grower……"[14]

[100] The court finds merit in the preliminary objection that the applicants could not approach the court for the review of the DoP validation process, it being the product of a contractual arrangement operationalised through the TWG. There is also merit in the submission that second respondent's report was not reviewable, it being merely an opinion in respect of which the first and second respondents were not demonstrated to have exercised an administrative function that was liable to review. The court's view is that an administrative action could not be attributed to the first respondent when it merely communicated the outcome of a process borne out of a tripartite arrangement that included the applicants and the first respondent.

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[14] Page 195 of the record

[101] Having reached the above conclusion on the preliminary points, it is needless for the court to traverse the merits of the matter. The application was improperly before the court as an application for review, since there was no administrative conduct liable to review. The application for review was irregular and therefore improperly before the court. The claim based on a *declaratur*, assuming the intention was to also motivate a case for a *declaratur* in the alternative, was never pleaded in the applicant's papers.

Costs of suit

[102] The general rule is that costs follow the event. The first and second respondents sought the dismissal of the application with costs on the ordinary scale, while the third to thirteenth respondents sought the dismissal of the application with costs on the higher scale of attorney and client. The claim for costs on the legal practitioner and client scale was not further motivated in oral submissions. The matter not only raised important legal questions, but the parties' relationship is symbiotic and existential, and it must be preserved and nurtured for the benefit of the sugar industry in the country. The parties' disputes must be resolved amicably and expeditiously. For these reasons, the court was disinclined to make an award of costs against the applicants.

Resultantly, it is ordered that:

1. The application is hereby struck off the roll for being improperly before the court.
2. Each party shall bear its own costs of suit.

MUSITHU J……

Mushoriwa Moyo, legal practitioners for the applicants
Civil Division of the Attorney General, legal practitioners for the 1st respondent
Mundia & Mudhara, legal practitioners for the 2nd respondent
Jiti Law Chambers, legal practitioners for the 3rd to 13th respondents